

Project Risk Report - Sprint 3

Overall Risk Level

The overall project risk level for Milestone 1 is currently assessed as MEDIUM. No risk is currently rated as blocking delivery, but two risks require active mitigation before the Milestone 1 demonstration.

Risk R1: Embedding Dependency Reliability

Description: Some embedding approaches depend on downloading a pretrained model from an external model hub on first run, which can fail on machines with restricted or slow internet access. Likelihood: Medium. Impact: Medium. Mitigation: Milestone 1 uses a local, dependency-light embedding method that requires no external download, removing this risk for the current milestone.

Risk R2: Chunking Losing Context Across Boundaries

Description: Splitting long documents into chunks can separate a risk description from its mitigation, or a task from its deadline, if chunk boundaries fall in the wrong place. Likelihood: Medium. Impact: High. Mitigation: Chunking uses overlapping word windows so context near chunk boundaries is preserved in at least one chunk.

Risk R3: Hallucinated Answers on Out-of-Scope Queries

Description: If the retrieval step always returns the closest chunks even when none of them are actually relevant, the platform could imply an answer exists when the uploaded documents do not contain one. Likelihood: Medium. Impact: High. Mitigation: Retrieved chunks are compared against a relevance distance threshold, and the interface explicitly states when no uploaded document contains sufficient information to answer the query.

Risk R4: Milestone 1 Scope Creep

Description: Requirements gathering surfaced several future modules (risk scoring, forecasting, dashboards, conversational assistant). Building these before the core RAG pipeline is proven could delay Milestone 1. Likelihood: Low. Impact: High. Mitigation: Milestone 1 is scoped strictly to ingestion, chunking, embedding, indexing and retrieval; all other modules are explicitly deferred to later milestones.

Current Blockers

There are no blocking issues as of Sprint 3. The relevance threshold for insufficient-information detection is still being tuned and is tracked as an open risk item (R3), not a blocker.